PRACTICAL PHILOSOPHY

10 September 2026

Yields Rose Into the Buyback

The Treasury tried to cap the long end in public yesterday, and the long end went the other way.

THE READING

The S&P 500 closed at 7,636.36, down 0.48%, a third straight decline, finishing at 33% of a narrow range. That is not the day's event. The Treasury said it would buy back as much as $6bn of 10–20 year coupons, up from prior guidance of at least $4bn — the third escalation of the programme.

The ten-year yield rose 5.3 basis points to 4.845% and printed 4.857% intraday, the highest since November 2023. The two-year closed at 4.436%, exactly its 52-week high. Brent settled at $101.21, its first close above $100 since July. The VIX rose 4.84% to 16.47, through the top of its own published range. Futures put the odds of a hike on 16 September near 62%.

WHAT WISDOM WOULD SAY

Hume, in the Enquiry Concerning Human Understanding, argued that we never observe the necessary connection between a cause and its effect. We observe only that one thing has regularly followed another, and the mind supplies the necessity out of habit. The inference is a custom of expectation, not a perception of a link.

Buybacks lower yields is a custom of that kind. It has held often enough to feel structural. Yesterday it did not hold, and the instructive part is what the failure exposes: not that the Treasury is powerless, but that the connection was never observed in the first place. What was observed was a sequence, and the sequence broke.

The same habit runs through the rest of this morning's reasoning. Oil up and dollar down have regularly preceded higher yields. A weak close has regularly preceded a weaker open. Each is a custom; none is a law. Wednesday's ten-year auction drew a bid-to-cover of 2.71x against 2.53x, with dealers left only 4.3% — demand arrived, at a price. The bearish custom was wrong about the mechanism too.

THE RISK IT JUSTIFIES

The index sits below Hedgeye's 7,695 TRADE line and above the 7,501 TREND line, which is the configuration in which adding is least defensible and exiting is premature. That argues for leaving size where it is and declining new index exposure before Friday's CPI at 20:30 HKT, with Brent above $100 inside the print's window.

It argues equally against the reflex in the other direction. Selling volatility at 16.47 rests on the custom that a band ceiling holds; the ceiling was raised yesterday and price cleared it anyway. So does shorting the long end on the theory that the next buyback will fail as well. One broken sequence is not a new one.

What would change the answer: a print that takes the two-year back under 4.28% re-establishes a sequence worth acting on. A print that takes it to 4.50% does not reverse the argument — it confirms the mechanism is not understood here, which is a reason for less size, not more.

Which of this morning's certainties is a law, and which is only a sequence you have seen often enough?